rapidly militarizing them. These islands are also claimed by several South-East Asian countries.

China's foreign policy during this phase was guided by Deng Xiaoping's well-known directive of *'taoguang yanghui'* , or 'hide your light and bide your time'. [2]

Despite the rapid and significant expansion of US–China relations in this period, from the 1990s onwards, particularly in the economic and commercial field and in a wide spectrum of educational and science and technology domains, Chinese leaders in Party forums consistently warned against the security and ideological threats from the US. The US was accused of trying to contain China, to retard its development and to try and bring about a 'colour revolution' [3] in the country through cultural and ideological subversion. China was convinced that the US was trying to bring about a regime change and engineer the overthrow of China's socialist system. Since the US was a powerful adversary, it was best not to provoke it and to adopt a muted posture on areas of difference. While safeguarding its interests, China would nevertheless leverage all possible opportunities to induct advanced knowledge and technology from the US and its Western allies and Japan to build up its own capabilities. The Party's directive put emphasis on 'managing great power relations', which meant relations with the US and other major powers, but the main preoccupation during this phase was relations with the US.

The next in order of importance were relations with neighbouring countries, and lastly relations with other developing countries. As we have seen, this was a period of accelerated growth in China, the steady accumulation of wealth and rising incomes, and a foreign policy posture of relative modesty and friendliness towards both neighbours and other developing countries in Asia, Africa and Latin America.

This essentially defensive strategy continued to be in place right up to 2009, when the Chinese leadership reassessed their relative position in the international balance of power. A series of events, such as the devastating 9/11 terrorist attack against the US in 2001, the Afghan war which came in its wake, followed by the war against Iraq in 2003 – all these became